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Solution

Bank reconciliation statement as on 31st December, 2017

Particulars		Amount `	Amount `
Overdraft balance as per bank statement			6,500
Add:	Cheques issued, but not yet presented for payment	3,000	3,000
			9,500
Less:	Cheques deposited into the bank but not credited	10,500	
	Wrong debit by the bank	500	
	Interest and bank charges debited by bank	180	
	Insurance premium directly paid by the bank as per standing order	100	11,280
Balance as per cash book*			**–1,780**

* ***Note:*** Since the balance obtained is negative, it is favourable balance.



Student activity

Think: In the above illustration, what will be the cash book balance, if the balance as per bank statement is favourable?

Illustration 8

The bank statement of Sudha and Company showed an overdraft of ` 10,000 on 31st December, 2017, prepare a bank reconciliation statement.

(a) A cheque deposited on 30th December 2017 for ` 15,000 was not credited by the bank.

(b) Interest on term loan ` 500 was debited by bank on 31st December, 2017 but not accounted in the books of Sudha and Company.

(c) A cheque issued for ` 550 on 24th December, 2017, paid by the bank was recorded as ` 505 in the bank column of the cash book.

(d) One outgoing cheque on 27th December, 2017 of ` 200 was recorded twice in the cash book.

(e) Bank recorded a cash deposit of ` 2,598 as ` 2,589.

(f) A sum of ` 2,000 deposited in cash deposit machine by a customer of the business on 31st December, 2017 was not recorded in the books of Sudha and Company.

(g) Interest on overdraft of ` 600 was not recorded in the books of Sudha and Company.

(h) Two cheques issued on 29th December, 2017 for ` 500 and ` 700, but only the first cheque was presented for payment before 31st December, 2017.